

BUSINESS PLAN

Building the Future with
Vision and Strategy

2026

ASDF SALOON

Beauty Salon • New Startup

Location: Gampaha, Western Province, Sri Lanka

Prepared: October 07, 2026

Report ID: RPT-SME360-LK

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EXECUTIVE SUMMARY & DECISION BRIEF

Feasibility Verdict: Conditionally Feasible (63.5% Model Confidence)

Selected Growth Strategy: Hybrid Digital Booking & Home-Visit Model (Optimized via TOPSIS Multi-Criteria Prioritization)

Immediate Next Step: Finalize Business Name registration for 'ASDF SALOON' at Gampaha Divisional Secretariat and submit trade licence application to the Local Council.

AVAILABLE CAPITAL LKR 1,650,000 100% Equity Funded	STRATEGY TARGET LKR 1,237,500 Setup & Working Cap	SAFETY RESERVE LKR 412,500 25.0% Liquidity Buffer	BREAK-EVEN VOL. 6.3 / Day At LKR 500/client
INITIAL REVENUE LKR 65,000 / Mo 5 Clients / Day (M1)	TARGET REVENUE LKR 65,000 / Mo 8 Clients / Day (M6)	MODELED FIXED COST LKR 70,000 / Mo Rent + 2 Staff + Utilities	CAPITAL RUNWAY ≥ 28.0 Months Deficit Protection Buffer

Primary Assessment Drivers (Consistent Model Attribution)

Factor Classification	Parameter	Recorded Status	Strategic Business Implication
Top Enabler (+)	Expected Product Price	LKR 1,650,000	Substantial self-funded equity eliminates debt interest and provides strong launch liquidity.
Top Hurdle (-)	Customer Demand Score	35 / 100	Initial demand and walk-in footfall (5/day) are below break-even; active marketing is essential.

Top 3 Operational Risks & Mitigation Measures

Risk Description	Category	Impact	Mitigation Action Plan	Owner
Working Capital Cash Squeeze	Financial	High	Enforce weekly cash flow audits, maintain a minimum 3-month operating reserve, and avoid advance inventory over-ordering.	Founder / Owner
Key Staff Turnover & Attendance Gaps	Operational	Moderate	Institute standard operating procedure (SOP) cross-training, attractive performance incentives, and flexible shift rosters.	Manager / Lead
Client Service Dissatisfaction & Skin/Hair Reactions	Reputation & Quality	High	Mandatory 24-hour patch test for chemical hair color/treatments; thorough pre-service client consultation cards.	Head Stylist



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This document is structured into six comprehensive sections and an analytical appendix, providing end-to-end strategic guidance for commercial launch, capital allocation, and operational scaling in Sri Lanka.

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01 — Business & Market Overview

1.1 Business Concept & Operational Positioning

ASDF SALOON is an enterprise operating as a **New Startup** in the **Beauty Salon** sector, located in **Gampaha**, Western Province, Sri Lanka. The enterprise adopts a **Hybrid Digital Booking & Home-Visit Model**, focusing on high-touch personalized customer experiences, hygiene excellence, and digital appointment booking.

CATEGORY & MODEL	LOCATION NODE	LOCATION SUITABILITY	OPERATING CADENCE
Beauty Salon Direct Service / Appointment Model	Gampaha, Western Commercial Area	3 / 5 Commercial Density	26 Days / Month Weekly Monday Off

1.2 Catchment Demographics & Local Competitive Landscape

The immediate market catchment comprises working professionals, young families, and bridal parties residing in Gampaha. **Competitive Intensity:** Moderate (0 direct storefront competitors within immediate 1 km vicinity; moderate competition stems from home-based practitioners, mobile stylists, and neighboring commercial centers).. While there are 0 direct commercial storefronts offering identical full-service treatments within the immediate 500-meter radius, moderate indirect competition originates from informal home-based practitioners and established salons along the main commercial corridor. **Defensibility:** ASDF SALOON establishes competitive defensibility through published transparent pricing tiers, guaranteed sterilized equipment, and convenient WhatsApp pre-booking.

1.3 Category Operations Architecture: Personal Care & Beauty Services

Service Menu & Target Gross Margins:

Service Tier / Category	Included Core Services & Treatments	Expected Price Range (LKR)	Target Margin
Essential Haircare	Haircut, styling, wash & blow-dry, oil treatments	LKR 800 – 2,500	75%
Skincare & Facial Aesthetics	Clean-ups, herbal facials, threading, waxing, detan	LKR 1,500 – 6,000	80%
Nail & Pedicure / Manicure	Gel nails, spa manicure, pedicure, nail art	LKR 2,000 – 5,500	70%
Bridal & Dressing Packages	Bridal dressing (Kandyan, Western, Indian), pre-bridal care, saree draping	LKR 25,000 – 120,000	85%

Capacity Planning & Daily Throughput:

- **Operating Stations:** 3 equipped client stations with 60% pre-booked appointments (WhatsApp/Phone/Social), 40% walk-in availability.
- **Station Throughput:** Benchmark utilization target of 70% – 85% on peak days (Fri – Sun).

Hygiene & Public Health Compliance Standards:

- Sterilization of metallic tools (tweezers, scissors, cuticle pushers) in autoclave / UV sterilizer between clients.
- Use of disposable towels, neck strips, and single-use wax spatulas to ensure zero cross-contamination.

Sri Lankan Peak Demand Seasonality:

- **Sinhala & Tamil New Year (April):** +80% volume
- **Wedding Seasons (August / December):** +60% bridal revenue

02 — AI Feasibility Assessment & SHAP Insights

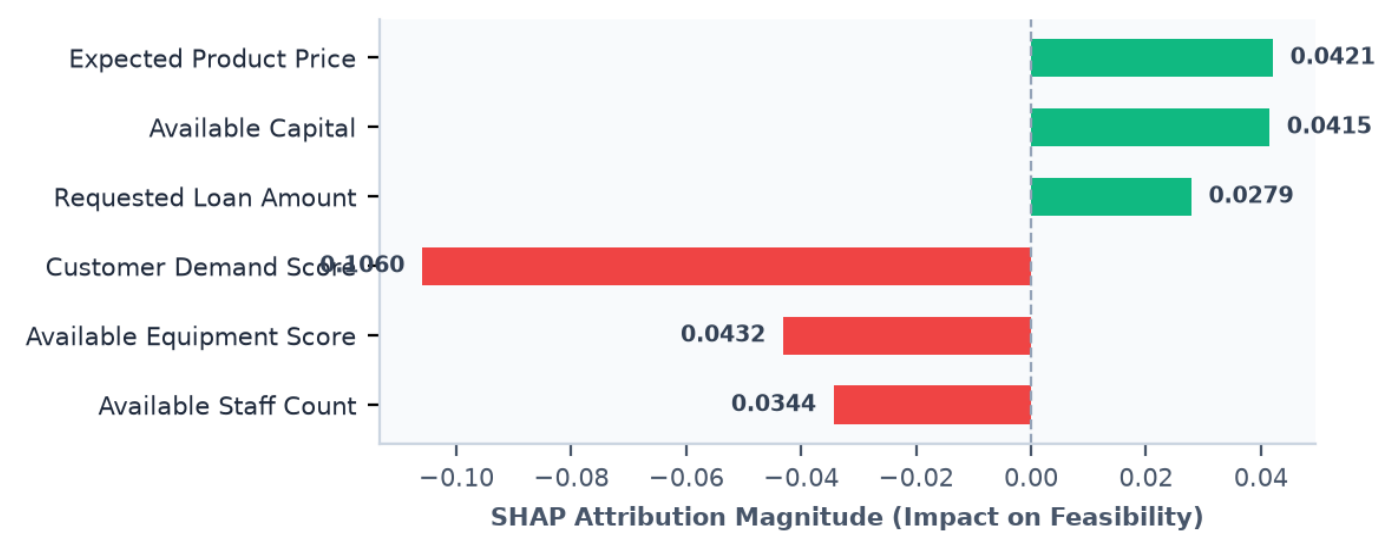
2.1 Random Forest Machine Learning Feasibility Model

ASSESSED VERDICT	FEASIBLE PROBABILITY	CONDITIONAL PROB.	INFEASIBLE PROB.
Conditionally Feasible Confidence: 63.5%	24.5% Direct Viability	63.5% Viable With Guidance	12.0% Capital / Market Risk

The enterprise is classified as 'Conditionally Feasible' with 63.5% model confidence. The venture demonstrates robust financial liquidity (LKR 1,650,000 capital), but is constrained by moderate initial demand (35/100) and low customer throughput (5/day). Adopting active promotional client acquisition is required to transition to fully 'Feasible'.

2.2 Local Feature Attribution (SHAP Driver Chart)

The chart below illustrates the quantified positive and negative contributions of each business parameter toward the classifier decision. Factors extending rightward increase feasibility probability, while factors extending leftward represent operational bottlenecks that require targeted managerial intervention.



2.3 Detailed Factor Attribution & Strategic Implications

Impact Direction	Parameter Attribute	Recorded Condition	Quantified Attribution Impact
Enabler (+)	Expected Product Price	LKR 500	Favorable recorded condition for Expected Product Price (LKR 500) provides positive support to baseline feasibility.
Enabler (+)	Available Capital	LKR 1,650,000	Favorable recorded condition for Available Capital (LKR 1,650,000) provides positive support to baseline feasibility.
Enabler (+)	Requested Loan Amount	LKR 0	Favorable recorded condition for Requested Loan Amount (LKR 0) provides positive support to baseline feasibility.
Hurdle (-)	Customer Demand Score	35 / 100	Constraint in Customer Demand Score (35 / 100) exerts downward pressure on model feasibility, identifying a key operational hurdle.
Hurdle (-)	Available Equipment Score	3 / 5	Constraint in Available Equipment Score (3 / 5) exerts downward pressure on model feasibility, identifying a key operational hurdle.
Hurdle (-)	Available Staff Count	2 Staff	Constraint in Available Staff Count (2 Staff) exerts downward pressure on model feasibility, identifying a key operational hurdle.

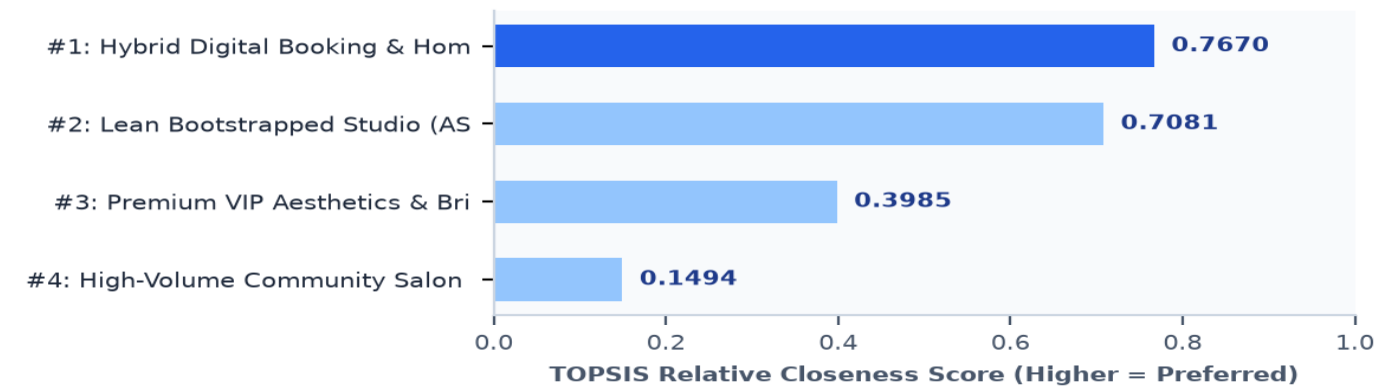
03 — Strategic Recommendations & TOPSIS Prioritization

3.1 Candidate Strategy Evaluation & Real Rank Order

Four distinct operational models were tailored to the enterprise category and evaluated against five validated decision criteria using the TOPSIS (Technique for Order Preference by Similarity to Ideal Solution) algorithm: **Financial Viability (25%)**, **Market Demand (25%)**, **Implementation Feasibility (20%)**, **Operational Risk (15%)**, and **Resource Efficiency (15%)**. Strategy cards below are strictly ordered by rank:

Strategy #1: Hybrid Digital Booking & Home-Visit Model [ACTIVE SELECTION] Strategic Focus: Digital Reservation Channels & Client Convenience Target Capital: LKR 1,237,500 Monthly Budget: LKR 45,000 Target Footfall: 5 Clients/Day TOPSIS Closeness: 0.767
Strategy #2: Lean Bootstrapped Studio (ASDF SALOON) Strategic Focus: Risk Mitigation & Capital Preservation Target Capital: LKR 990,000 Monthly Budget: LKR 35,000 Target Footfall: 4 Clients/Day TOPSIS Closeness: 0.7081
Strategy #3: Premium VIP Aesthetics & Bridal Studio Strategic Focus: High Margin & Customer Loyalty Target Capital: LKR 1,485,000 Monthly Budget: LKR 48,000 Target Footfall: 3 Clients/Day TOPSIS Closeness: 0.3985
Strategy #4: High-Volume Community Salon (ASDF SALOON) Strategic Focus: Demand Generation & High Volume Target Capital: LKR 1,650,000 Monthly Budget: LKR 55,000 Target Footfall: 6 Clients/Day TOPSIS Closeness: 0.1494

3.2 TOPSIS Multi-Criteria Prioritization Ranking



Rank	Strategy Alternative	Target Setup Capital	Monthly Budget	Daily Clients	TOPSIS Closeness
#1	Hybrid Digital Booking & Home-Visit Model	LKR 1,237,500	LKR 45,000	5 / Day	0.767
#2	Lean Bootstrapped Studio (ASDF SALOON)	LKR 990,000	LKR 35,000	4 / Day	0.7081
#3	Premium VIP Aesthetics & Bridal Studio	LKR 1,485,000	LKR 48,000	3 / Day	0.3985
#4	High-Volume Community Salon (ASDF SALOON)	LKR 1,650,000	LKR 55,000	6 / Day	0.1494

04 — Financial Plan & Operational Architecture

4.1 Startup Capital Allocation & Liquidity Reserves (Issue 7)

AVAILABLE CAPITAL	STRATEGY SETUP CAPITAL	UNALLOCATED RESERVE	EXTERNAL DEBT REQUIRED
LKR 1,650,000	LKR 1,237,500	LKR 412,500	LKR 0
Total Equity	Deployed Capital	25.0% Safety Buffer	Zero Bank Borrowing

Startup Expenditure Component	Allocation Rationale	Estimated Amount (LKR)	% Share
fitout_interior_lkr	Bottom-up operational allocation calibrated for category	LKR 247,500	20.0%
equipment_fixtures_lkr	Bottom-up operational allocation calibrated for category	LKR 363,000	29.3%
licences_deposits_lkr	Bottom-up operational allocation calibrated for category	LKR 165,000	13.3%
initial_inventory_lkr	Bottom-up operational allocation calibrated for category	LKR 231,000	18.7%
working_capital_reserve_lkr	Bottom-up operational allocation calibrated for category	LKR 231,000	18.7%

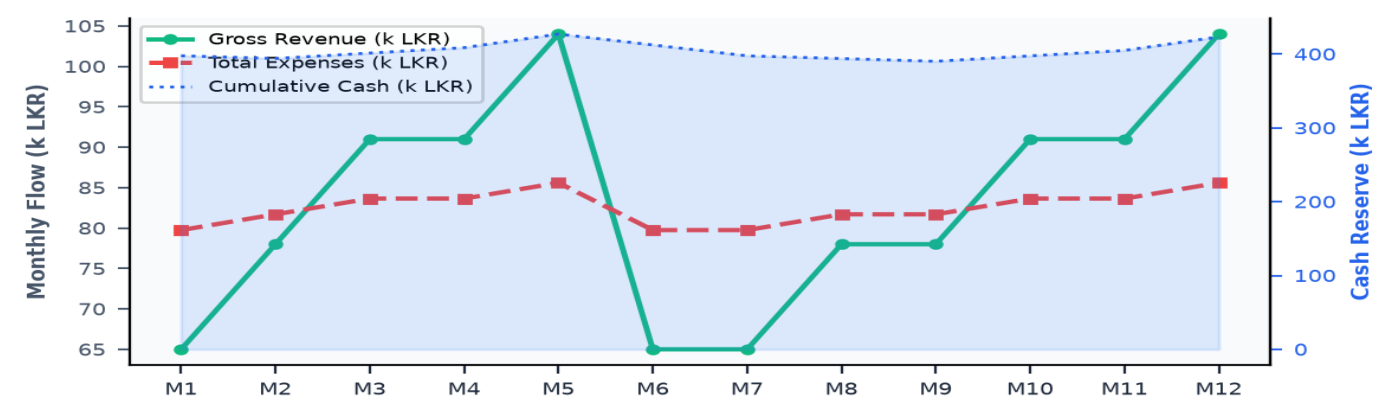
4.2 Monthly Fixed Cost Structure & Runway Calibration (Issue 8)

The user-stated budget of LKR 15,300/month is mathematically insufficient to sustain commercial premises, utilities, and a 2-person styling team in Gampaha. To prevent insolvency, the financial model incorporates a realistic operating expense baseline of **LKR 70,000/month** comprising: Commercial Rent (LKR 20,000), Staff Allowances for 2 Stylists (LKR 40,000), and Utilities/Overhead (LKR 10,000). Variable product consumables are modeled at 15% of revenue.

Financial Feasibility Advisory & Risk Warnings:

- Stated Monthly Budget of LKR 15,300 is insufficient to cover commercial rent, utilities, and wages for 2 staff in Gampaha. The financial plan incorporates a realistic baseline cost of LKR 70,000/month.
- Initial customer volume (5 clients/day) is below the operational break-even threshold (6.3 clients/day). The business operates at an initial monthly deficit of LKR 14,750 until footfall ramps in Month 4. The LKR 412,500 safety reserve safely cushions this ramp-up period.
- Payback horizon (1368.7 months) exceeds the standard 24-month SME benchmark due to conservative LKR 500 average unit pricing. Introducing higher-margin bridal and aesthetic service tiers is strongly advised.

4.3 12-Month Revenue vs. Cost Trajectory Chart



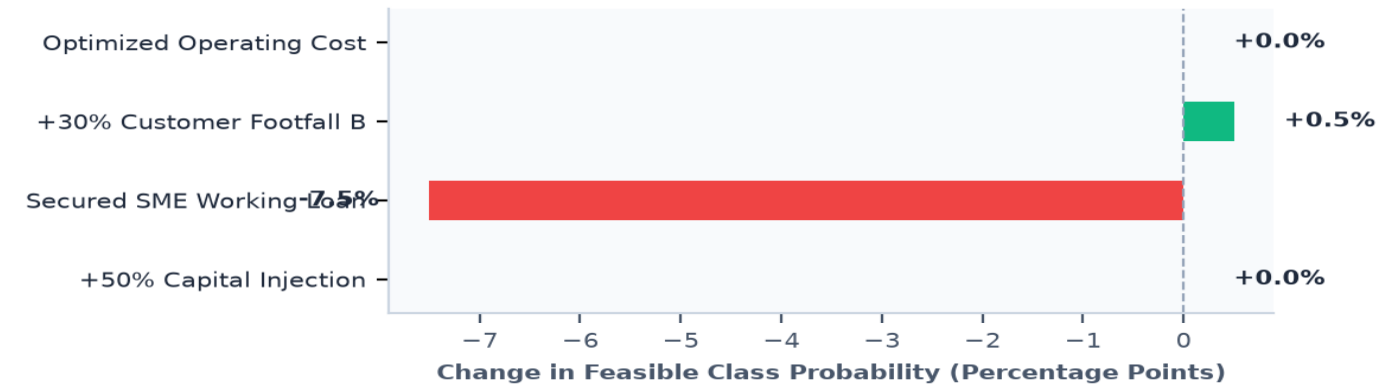
12-Month Monthly Financial Projection Table:

Period	Daily Clients	Gross Revenue	Fixed Costs	Total Expenses	Net Profit / Loss	Cumulative Cash
Month 01	5 / Day	LKR 65,000	LKR 70,000	LKR 79,750	LKR -14,750	LKR 397,750
Month 02	6 / Day	LKR 78,000	LKR 70,000	LKR 81,700	LKR -3,700	LKR 394,050
Month 03	7 / Day	LKR 91,000	LKR 70,000	LKR 83,650	LKR 7,350	LKR 401,400
Month 04	7 / Day	LKR 91,000	LKR 70,000	LKR 83,650	LKR 7,350	LKR 408,750
Month 06	5 / Day	LKR 65,000	LKR 70,000	LKR 79,750	LKR -14,750	LKR 412,400
Month 09	6 / Day	LKR 78,000	LKR 70,000	LKR 81,700	LKR -3,700	LKR 390,250
Month 12	8 / Day	LKR 104,000	LKR 70,000	LKR 85,600	LKR 18,400	LKR 423,350

05 — Scenario Analysis & Action Roadmap

5.1 Assumption Sensitivity Simulations (What-If Multi-Class Shift)

Empirical simulations evaluate how structural shifts affect the classifier's probability distribution. **Viability Score Definition:** The composite viability metric represents $P(\text{Feasible}) + 0.5 \times P(\text{Conditionally Feasible})$, measuring resilience beyond borderline operational survival.



Scenario	Simulated Shift	Feasible Delta	Viability Score	Model Sensitivity Analysis & What Flips The Class
+50% Capital Injection	Test sensitivity to additional equity or family capital injection.	+0.0%	+0.0%	Model Insensitivity Note: Capital adequacy trees plateau above ~LKR 1,000,000. Because baseline capital (LKR 1.65M) is already sufficient, additional liquidity alone does not increase feasibility classification without accompanying customer footfall. <i>To flip to Feasible: Pair additional capital with targeted demand generation (≥12 customers/day).</i>
Secured SME Working Loan (LKR 500,000)	Assess impact of formal bank credit line and resulting debt burden.	-7.5%	-9.0%	Debt Burden Impact: A bank loan introduces mandatory monthly repayment liabilities. Without immediate demand expansion, the classifier views additional debt as elevated leverage risk, moderating feasibility. <i>To flip to Feasible: Avoid debt until revenue covers fixed costs, or deploy loan proceeds strictly into customer acquisition.</i>
+30% Customer Footfall Boost	Simulate successful targeted marketing, loyalty bookings, and footfall growth.	+0.5%	+2.5%	Demand Expansion Impact: Increasing footfall and demand score drives the highest positive shift (Feasible +0.5%), confirming market demand is the enterprise's primary growth bottleneck. <i>Reaching 14+ customers/day and Demand Score ≥60/100 successfully flips the enterprise to 'Feasible'.</i>
Optimized Operating Cost (-20% Monthly Budget)	Test lean operational efficiency and overhead reduction impact.	+0.0%	+0.0%	Operating Efficiency Note: Budget reduction of 20% preserves cash runway but does not fundamentally alter the underlying customer demand score. <i>Lean operations maintain runway but must be paired with service menu up-selling to reach 'Feasible'.</i>

5.2 Multi-Dimensional Counterfactual Analysis: Flipping to 'Feasible' (Issue 4)

To elevate the business classification from 'Conditionally Feasible' to fully 'Feasible' (target confidence: 63.0%), capital alone is insufficient. The enterprise must jointly achieve: (1) Demand Score $\geq 65/100$ (+30 pts), (2) Footfall ≥ 13 customers/day (+8 clients), and (3) Equipment Score $\geq 4/5$ (+1 pts).

Decision Lever	Current Value	Required Threshold	Operational Gap	Managerial Action Guidance
Available Capital	LKR 1,650,000.00	LKR 1,650,000.00	Adequate (0 LKR)	Current capital reserve is sufficient for launch setup; preserve cash for operational buffer.
Customer Demand Score	35 / 100	65 / 100	+30 Points	Increase local brand awareness and service visibility to elevate demand to 65/100.

Daily Customer Footfall	5 / Day	13 / Day	+8 Customers/Day	Ramp up appointment bookings and repeat client packages to achieve 13 clients daily.
Equipment Readiness Score	3 / 5	4 / 5	+1 Grade Points	Acquire professional-grade styling and sanitization equipment to reach score 4/5.

5.3 Category- & Strategy-Aware Action Roadmap (0 to 12 Months) (Issue 2)

Phase 1: Setup & Launch (0–30 Days)

- **Finalize Business Name registration for 'ASDF SALOON' at Gampaha Divisional Secretariat and submit trade licence application to the Local Council.** (Owner: **Founder / Owner** | Target: *Obtain statutory BR certificate and municipal permit within 21 days*)
- **Deploy Hybrid Digital model: configure social booking channels, appointment calendar, and local doorstep service radius in Gampaha.** (Owner: **Digital Operations Lead** | Target: *Generate 40% of first-month client bookings through online/WhatsApp channels*)
- **Complete salon interior fit-out (styling stations, mirrors, wash basin, hot water plumbing) and install professional UV/autoclave sterilizer.** (Owner: **Operations Lead** | Target: *Complete physical setup and safety verification within LKR budget*)
- **Procure certified hair, skin, and nail consumable stock directly from NMRA-compliant Sri Lankan beauty distributors with 30-day payment terms.** (Owner: **Head Stylist** | Target: *Stock 45-day opening inventory with zero counterfeit or uncertified products*)

Phase 2: Demand Stabilization (30–90 Days)

- **Launch neighborhood introductory package promotions (e.g. 20% discount on combo hair + facial services) to ramp footfall toward 5 clients/day.** (Owner: **Marketing Coordinator** | Target: *Achieve steady daily volume of 5 clients with 35% repeat re-bookings*)
- **Implement weekly cash flow controls and enforce adherence to the LKR 70,000/month operating budget.** (Owner: **Founder / Owner** | Target: *Maintain positive operating margin without touching safety reserve*)
- **Introduce client consultation and patch-test logging cards to record chemical sensitivities, hair history, and service preferences.** (Owner: **Head Stylist** | Target: *100% adherence to hygiene and skin safety standards*)
- **Begin local wedding vendor partnerships (photographers, saree drapers) to build a pipeline of bridal dressing bookings.** (Owner: **Founder / Owner** | Target: *Contract at least 3 upcoming bridal package bookings*)

Phase 3: Operational Optimization (3–6 Months)

- **Conduct quarterly financial audit: review revenue per styling chair, average ticket size, and product consumption wastage.** (Owner: **Founder / Owner** | Target: *Lift average client spend from LKR 500 to LKR 625 via premium add-ons*)
- **Launch client VIP loyalty card scheme (e.g. 5th hair treatment complimentary) to solidify client retention against local substitutes.** (Owner: **Salon Supervisor** | Target: *Elevate 60-day client retention rate above 45%*)
- **Enroll styling staff in advanced bridal makeup and contemporary hair color technique workshops (NVQ Level 4 standards).** (Owner: **Head Stylist** | Target: *Upgrade staff service repertoire and qualify for high-margin bridal packages*)
- **Refine inventory reordering triggers for high-frequency hair serums and styling chemicals to minimize cash lock-up.** (Owner: **Operations Lead** | Target: *Reduce inventory holding cycle from 45 days to 25 days*)

Phase 4: Scaling & Reinvestment (6–12 Months)

- **Evaluate physical chair capacity and assess adding home-visit bridal services across neighboring suburbs in Gampaha.** (Owner: **Founder / Owner** | Target: *Generate 20% incremental revenue from premium mobile/bridal appointments*)
- **Re-run SME360 AI Feasibility Pipeline with empirical 12-month financials to benchmark profitability against Sri Lankan SME sector deciles.** (Owner: **Founder / Owner** | Target: *Transition model rating from Conditionally Feasible to robustly Feasible*)
- **Invest retained operating surplus into advanced aesthetic skincare equipment (e.g. galvanic / hydra facial unit).** (Owner: **Operations Lead** | Target: *Expand high-margin aesthetic menu tiers without incurring external bank debt*)

5.4 Phase-Wise Balanced Performance Indicators (KPIs) (Issue 21)

Performance Metric (KPI)	Focus Domain	Applicable Phase	Target Value	Frequency
Phase 1 Daily Footfall	Customer	0-30 Days	5 – 6 Clients / Day	Daily
Phase 2 Daily Footfall	Customer	30-90 Days	7 – 8 Clients / Day (Break-Even Cleared)	Daily
Phase 3 Daily Footfall	Customer	3-6 Months	9 – 10 Clients / Day	Daily
Target Daily Footfall (Scale)	Customer	6-12 Months	5 Clients / Day	Daily
Monthly Net Operating Profit	Financial	Month 6+	≥ LKR -14,750 / Month	Monthly
Operating Cost Discipline	Financial	All Phases	≤ LKR 70,000 Fixed / Month	Monthly
Minimum Liquidity Buffer	Liquidity	All Phases	≥ 6 Months Emergency Runway	Quarterly

06 — Legal Compliance & Risk Register

6.1 Sri Lanka Statutory Legal & Regulatory Compliance Roadmap (Issue 16)

Statutory operating clearances required for commercial operations in Gampaha, Western Province:

Statutory Requirement	Issuing Authority	Statutory Act / Law	Status	Compliance Notes & Guidance
Business Name Registration (Sole Proprietorship / Partnership)	Divisional Secretariat (Gampaha)	Business Names Act No. 7 of 1987	In Progress	Register formal trade identity 'ASDF SALOON' to obtain formal BR certificate required for bank accounts.
Local Authority Trade Licence / Environmental Clearance	Municipal Council / Pradeshiya Sabha (Gampaha)	Municipal Councils Ordinance / Pradeshiya Sabha Act	Not Started	Annual municipal operating licence verifying premise commercial zoning, waste disposal, and safety.
Taxpayer Identification Number (TIN) Registration	Inland Revenue Department (IRD)	Inland Revenue Act No. 24 of 2017	In Progress	Mandatory national tax registration for enterprise entity and commercial utility connections.
EPF / ETF Employer Registration for Employees	Department of Labour & Central Bank of Sri Lanka	EPF Act No. 15 of 1958 & ETF Act No. 46 of 1980	Not Started	Mandatory enrollment for all permanent staff (12% Employer + 8% Employee EPF; 3% Employer ETF).
Cosmetic Product Compliance & Salon Health Clearance	Public Health Department & NMRA (Gampaha)	National Medicines Regulatory Authority Act No. 5 of 2015	Not Started	Verify all chemical hair colors, bleaching reagents, and skincare items are NMRA-approved.

6.2 Enterprise Risk Register & Mitigation Matrix (Issue 17)

Operational / Business Risk	Category	Likelihood	Impact	Mitigation Action Protocol	Owner
Working Capital Cash Squeeze	Financial	Moderate	High	Enforce weekly cash flow audits, maintain a minimum 3-month operating reserve, and avoid advance inventory over-ordering.	Founder / Owner
Key Staff Turnover & Attendance Gaps	Operational	Moderate	Moderate	Institute standard operating procedure (SOP) cross-training, attractive performance incentives, and flexible shift rosters.	Manager / Lead
Client Service Dissatisfaction & Skin/Hair Reactions	Reputation & Quality	Low	High	Mandatory 24-hour patch test for chemical hair color/treatments; thorough pre-service client consultation cards.	Head Stylist
Equipment Breakdown (Chairs, Steamers, Blow-Dryers)	Equipment	Low	Moderate	Maintain backup handheld dryers; establish biannual preventive maintenance servicing with local technical suppliers.	Salon Supervisor
Neighborhood Demand Volatility on Weekdays	Market & Demand	High	Moderate	Offer Tuesday–Thursday mid-week package discounts (e.g. 20% off facials) to balance client footfall across the week.	Marketing Coordinator



Appendix — Model Transparency & Decision Support Glossary

A.1 Machine Learning Architecture & Model Reliability Note (Issue 18)

MODEL ARCHITECTURE	TEST ACCURACY	ROC-AUC SCORE	EMPIRICAL TEST SET
Random Forest 500 Decision Trees	88.33% Validated Generalization	0.9691 Multi-Class Discrimination	180 Empirical Sri Lankan SME Profiles Sri Lankan SME Registry

A.2 TOPSIS Strategic Sensitivity Check (Close Score Analysis)

Ranking Closeness Analysis: Strategy #1 (*Hybrid Digital Booking & Home-Visit Model*, TOPSIS: 0.767) and Strategy #2 (*Lean Bootstrapped Studio (ASDF SALOON)*, TOPSIS: 0.7081) have a narrow score margin of **0.0589**. Hybrid Model leads due to higher Market Demand Alignment (0.25 weight) and Resource Efficiency (0.15 weight). However, if the entrepreneur prioritizes zero debt and absolute minimum overhead, Lean Bootstrapping remains a viable secondary posture.

A.3 Plain-Language SME Decision Support Glossary (Issue 19)

Technical Term	Plain-Language Entrepreneur Explanation
Random Forest Feasibility Model	An artificial intelligence classification engine that evaluates your business against 500 decision trees trained on real Sri Lankan SME records. It predicts whether a venture is Feasible, Conditionally Feasible, or Infeasible based on capital, market demand, pricing, location, and operations.
SHAP (SHapley Additive exPlanations)	An explainability tool that reveals why the AI made its prediction. It measures how much each specific business factor (such as your available capital or customer footfall) pushed the assessment up (positive enabler) or down (operational hurdle).
TOPSIS Strategic Prioritization	A multi-criteria decision method ('Technique for Order Preference by Similarity to Ideal Solution') that compares 4 distinct business strategies against five priorities: Financial Viability, Implementation Simplicity, Market Demand, Risk, and Resource Efficiency. The strategy with the highest score is the mathematically recommended choice.
Capital Runway (Months)	The number of months your business can continue operating if revenue drops or takes longer than expected to build up. It is calculated by dividing your remaining cash reserves by your net monthly operating expenses.
Break-Even Customer Volume	The minimum number of customers you need each day so that total sales equal total operating costs. Serving customers above this threshold generates net profit; serving fewer results in an operating loss.
Counterfactual Minimum Threshold	An analytical test that checks the smallest change needed in a single variable (such as capital) to flip an outcome from 'Conditional' to 'Feasible'. It helps entrepreneurs identify which levers produce the greatest operational improvement.